

SILENCE, SPIN, OR STRAIGHT TALK? HOW TARIFF-RELATED PRICE MESSAGING SHAPES CONSUMER RESPONSES

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This paper develops and empirically tests a moderated parallel mediation framework predicting how four corporate tariff-related price message strategies differentially shape consumer fairness perceptions, psychological reactance, and downstream brand outcomes across a three-study research program.

RESEARCH QUESTION

The reimposition of broad-based U.S. import tariffs beginning in 2025 created an urgent managerial communication problem: when firms must raise prices because of tariffs, what should they tell consumers? Recent Federal Reserve analysis estimates that tariffs implemented through November 2025 raised core goods PCE prices by 3.1 percent through February 2026, while New York Fed analysis suggests that nearly 90 percent of the tariff burden fell on U.S. firms and consumers (Amiti et al., 2026; Minton et al., 2026). Morning Consult (2025) tracking data similarly show that 70 percent of consumers expected companies to pass tariff costs on to consumers through higher prices. These conditions make tariff-related price communication both practically urgent and theoretically distinctive: managers must explain price increases in an environment where the cost shock is externally imposed, politically authorized, highly visible, and contested by consumers.

This paper asks four inquisitive questions: how do four corporate tariff-related price message strategies - silence, neutral attribution, gain-framed mitigation, and loss-framed consequence - differentially affect consumer responses through competing fairness appraisal and psychological reactance processes, and how does consumer tariff-policy attitude moderate these effects? The question is theoretically important because tariff-driven price increases differ from ordinary cost shocks. Traditional price-fairness research often assumes that external cost attribution can legitimize a price increase by showing that the firm is not merely exploiting consumers. Tariffs complicate that logic. The same attribution cue that legitimizes a price increase for a pro-tariff consumer may read as partisan excuse-making or blame shifting for an anti-tariff consumer. Thus, a tariff explanation may simultaneously restore fairness and activate resistance.

The project focuses on four message strategies observed or expected in corporate tariff communications. Silence refers to raising prices without mentioning tariffs. Neutral attribution states that tariffs contributed to higher costs and that prices are being adjusted accordingly. Gain-framed mitigation emphasizes what the firm has done to absorb, delay, or reduce the impact before passing along any increase. Loss-framed consequence emphasizes that tariffs leave the firm with little choice and that prices will rise because of unavoidable policy-driven cost pressure. The central theoretical claim is that these strategies do not vary only in transparency. They vary in how they allocate responsibility, signal managerial restraint, and threaten consumer freedom, which should produce different combinations of fairness restoration and reactance.

METHOD AND DATA

The project is structured as a three-study mixed-methods research program. Study 1 establishes ecological validity and stimulus realism by identifying naturally occurring tariff-related message

forms before converting them into experimentally controlled stimuli. Study 2 tests causal effects through a between-subjects vignette experiment. Study 3 validates the full dual-pathway model using latent-variable structural equation modeling. The studies are designed to build sequentially: Study 1 grounds the typology in real marketplace language, Study 2 establishes causal evidence, and Study 3 provides construct-level validation of the proposed fairness-reactance architecture.

Study 1 uses reflexive thematic analysis (Braun & Clarke, 2006, 2019) of naturally occurring corporate tariff communications, including customer emails, retailer announcements, press releases, corporate blog posts, public statements, and earnings-call excerpts. The corpus will be collected from firms in tariff-exposed categories such as apparel, home goods, consumer electronics, automotive parts, small appliances, and outdoor equipment. Two trained coders will classify each communication according to the four proposed strategies while also coding rhetorical features such as responsibility attribution, cost absorption language, customer empathy, inevitability cues, and policy references. Disagreements will be reconciled through discussion, and the final corpus will be used to develop realistic stimuli for Study 2. The purpose of Study 1 is not only descriptive classification but also methodological calibration: experimental stimuli should sound like actual corporate communication rather than artificial academic prose.

Study 2 uses a four-cell between-subjects vignette experiment with a national U.S. adult sample recruited through Prolific (target $N = 300$). A power analysis for medium effects ($f = .25$, $\alpha = .05$, $1 - \beta = .80$) suggests that this sample is sufficient for omnibus comparisons among conditions, while also allowing conditional process tests with bootstrapped confidence intervals. Tariff-policy attitude will be measured before stimulus exposure to reduce demand effects. Participants will then read a brand vignette describing an 8-12 percent price increase in a tariff-exposed product category. The price increase will be held constant across conditions; only the message strategy will vary. Dependent variables will include perceived price fairness, psychological reactance, brand trust, brand attitude, purchase intention, switching intention, and negative word-of-mouth.

The Study 2 analysis will use PLS-SEM for direct condition effects and conditional process analysis for mediation and moderated mediation. Rather than locking the design into a single PLS-SEM template at this stage, the analysis will use PLS-SEM procedures to estimate bootstrapped indirect effects through perceived fairness and psychological reactance. Tariff-policy attitude will be tested as a moderator of message effects and/or indirect effects, depending on the final model specification. This approach allows the experiment to prioritize causal identification while retaining flexibility in the moderated mediation structure.

Study 3 uses a larger independent sample and multi-item latent measures to validate the full dual-pathway model through structural equation modeling. Whereas Study 2 prioritizes internal validity, Study 3 prioritizes construct validation and model-level evidence. The PLS-SEM will test whether fairness and reactance function as parallel rather than sequential mediators, whether the two pathways exert countervailing effects on downstream brand outcomes, and whether tariff-policy attitude systematically moderates either path. The PLS-SEM study also allows reliability, convergent validity, discriminant validity, collinearity, indirect effects, explained variance, and predictive relevance to be evaluated more fully than in the experimental study alone.

THEORETICAL MODEL AND EXPECTED FINDINGS

The proposed model draws on dual entitlement theory, psychological reactance theory, and prospect theory. Dual entitlement theory argues that consumers judge price increases partly by whether firms

appear to preserve a fair reference profit while responding to legitimate cost changes (Kahneman et al., 1986). Psychological reactance theory predicts that individuals resist messages perceived as threatening their freedom of choice (Brehm, 1966; Steindl et al., 2015). Prospect theory suggests that gain and loss frames change how individuals encode outcomes and evaluate risk, sacrifice, and responsibility (Kahneman & Tversky, 1979). Together, these perspectives suggest that tariff-related price messages should activate two parallel psychological processes: a fairness appraisal pathway and a reactance pathway.

The fairness pathway predicts that attribution and managerial restraint increase perceived fairness. A firm that simply raises prices without explanation provides little basis for consumers to distinguish legitimate cost recovery from opportunistic profit seeking. Neutral attribution should improve fairness perceptions by linking the price increase to an external cost driver. Gain-framed mitigation should produce the highest fairness because it combines external attribution with evidence that the firm attempted to protect consumers before passing along costs. Loss-framed consequence should generate a weaker fairness benefit because the threat language may offset the legitimacy of the attribution cue. In other words, consumers may accept that tariffs raise costs but still dislike how the firm communicates inevitability and burden.

The reactance pathway predicts a different pattern. Silence may create frustration but provides fewer explicit persuasion cues. Neutral attribution may increase persuasion knowledge by signaling that the firm is explaining or justifying a price increase. Gain-framed mitigation should generate the lowest reactance because it emphasizes restraint, shared burden, and customer protection. Loss-framed consequence should generate the highest reactance because it frames the price increase as unavoidable, restricts perceived consumer choice, and may appear to pressure consumers into accepting the firm's preferred interpretation. Thus, transparency may not be uniformly beneficial. A tariff explanation can make a price increase seem fairer while also making consumers more aware that the firm is trying to manage their reaction.

Tariff-policy attitude is expected to condition these effects. For consumers who support tariffs, tariff attribution may be interpreted as a necessary cost of a preferred policy and may therefore produce less blame toward the firm. For consumers who oppose tariffs, the same attribution may feel like politicized excuse-making or an attempt to shift responsibility. The strongest cross-over pattern is expected for loss-framed consequence messages: pro-tariff consumers may accept the necessity narrative, while anti-tariff consumers may react against the implication that public policy has forced their choices. This moderation framework extends brand polarization research by examining how political attitudes shape responses not only to voluntary brand activism but also to involuntary corporate responses to government policy (Haupt et al., 2023; Villagra et al., 2021).

Across outcomes, gain-framed mitigation is predicted to produce the most favorable net brand effects because it should maximize fairness while minimizing reactance. Neutral attribution should outperform silence on fairness but may introduce modest reactance. Loss-framed consequence should be the riskiest strategy because its fairness benefit is likely conditional and its reactance cost is expected to be high. The model therefore challenges a simple managerial assumption that more explanation is always better. The important question is not whether a firm should communicate, but how it should frame responsibility, restraint, and consumer impact.

KEY CONTRIBUTIONS

This paper makes four theoretical contributions. First, it advances dual entitlement theory into a politically contested cost context. Prior work has examined price fairness under cost changes, shortages, and supply disruptions, but tariff-related price increases create a boundary condition in which the attribution cue itself is politically interpreted. This makes tariff communication theoretically distinct from ordinary inflation, pandemic disruption, or supply-chain cost shocks.

Second, the paper extends psychological reactance theory into the consumer-firm pricing relationship. Reactance has often been examined in health, persuasion, and message-resistance contexts. This project specifies how price explanations can threaten perceived freedom when firms use inevitability language, loss framing, or policy blame to justify higher prices. In doing so, the paper identifies reactance as a mechanism explaining why transparent price communication may backfire.

Third, the paper develops a parallel dual-pathway architecture showing that price transparency can produce competing psychological effects. The same explanation may simultaneously increase fairness and activate reactance. This contribution moves beyond single-mediator models of price fairness by showing that brand outcomes depend on the net balance of legitimacy and resistance. This architecture is especially useful for controversial marketplace contexts where consumers evaluate both the economic logic of a price increase and the social meaning of the explanation.

Fourth, the political moderation framework extends brand polarization research from voluntary corporate activism into involuntary corporate responses to government policy. Firms often face politically sensitive cost pressures they did not choose: tariffs, carbon taxes, regulatory mandates, labor rules, environmental compliance, supply-chain localization requirements, and sanctions. The proposed model therefore has broad generalizability beyond tariffs. It explains how firms communicate when public policy becomes embedded in price, and when consumers' political attitudes shape whether a cost explanation is seen as legitimate, manipulative, or threatening.

Managerially, the research identifies gain-framed mitigation as the likely dominant communication strategy. Firms should avoid silence when consumers are likely to infer opportunism, but they should also avoid loss-framed messages that sound coercive, defensive, or politically loaded. The practical implication is that managers should communicate tariffs through a customer-protection lens: acknowledge the cost pressure, show what the firm has done to absorb or reduce the impact, and avoid language that implies consumers have no choice. The three-study design produces actionable and defensible guidance for brand managers navigating politically sensitive pricing decisions.

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